

US ECONOMICS ANALYST

Tracking Inflation Risks from the Middle East Conflict

- The US and Iran each carried out new attacks over the last week. A serious re-escalation of the conflict would threaten to revive the key upside risk to inflation and raise the odds of rate hikes.
- Oil prices have risen only moderately so far during the latest escalation and remain roughly 30% below the levels reached in late April and early May. Gasoline prices have declined 15%, jet fuel prices have fallen 35%, prices of other Persian Gulf exports are down sharply from their wartime peaks, and while shipping costs have kept rising, the increase so far should have only a modest impact on consumer prices. Oil flows from Gulf countries dipped last week but remain above their lows, and total oil inventories have not been replenished but are not strikingly low.
- A key question for upcoming inflation reports and for the Fed is how much impact further disruptions caused by the conflict are likely to have on consumer prices. We approach this question using two statistical tools. The first is our model of passthrough from commodity prices to consumer prices, which suggests that the monthly impact peaked in Q2 and should decline noticeably in Q3 and further in Q4, assuming there is no re-escalation of the conflict that raises energy prices again. The second tool uses measures of shortages and supply chain pressures to estimate the broader effects of conflict-related disruptions beyond energy and also suggests that, barring further escalation, these effects should decline substantially in Q3 and Q4.
- A major concern for Fed officials is that the lengthy series of supply shocks that has kept inflation elevated for a long time could pose a risk to inflation expectations. So far, measures of inflation expectations send mixed signals but do not look concerning overall: market-based measures are more subdued and seem to be receiving more attention from Fed officials, while some consumer measures are higher but increasingly subject to doubts about their reliability. Our composite indicator of persistent inflation risks suggests that absent re-escalation, the inflation shock from the war was probably not severe or long-lasting enough to spark lasting inflation contagion.
- Like the effects of the war and oil price spike, the incremental effects of tariffs and AI demand on month-over-month inflation should fade in coming months. We expect core PCE inflation to come in at 24bp in June and to remain in a 20-23bp range in the months that follow. We expect methodological changes

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implemented in August to lower the year-over-year rate by 0.2pp to 3.2%, but it will likely fall only a touch further ahead of the Fed's remaining meetings this year. This path should keep the Fed on hold for the rest of 2026, but it leaves little margin for error.

- Our models suggest that a potential re-escalation that pushed oil prices back up to \$100 per barrel would boost monthly core inflation by 3-4bp in coming months. But the impact of yet another supply shock on the monetary policy debate could be more significant than the passthrough math alone suggests because it would add to the fear that further shocks might still be ahead of us and could eventually become enough to unanchor inflation expectations.

Tracking Inflation Risks from the Middle East Conflict

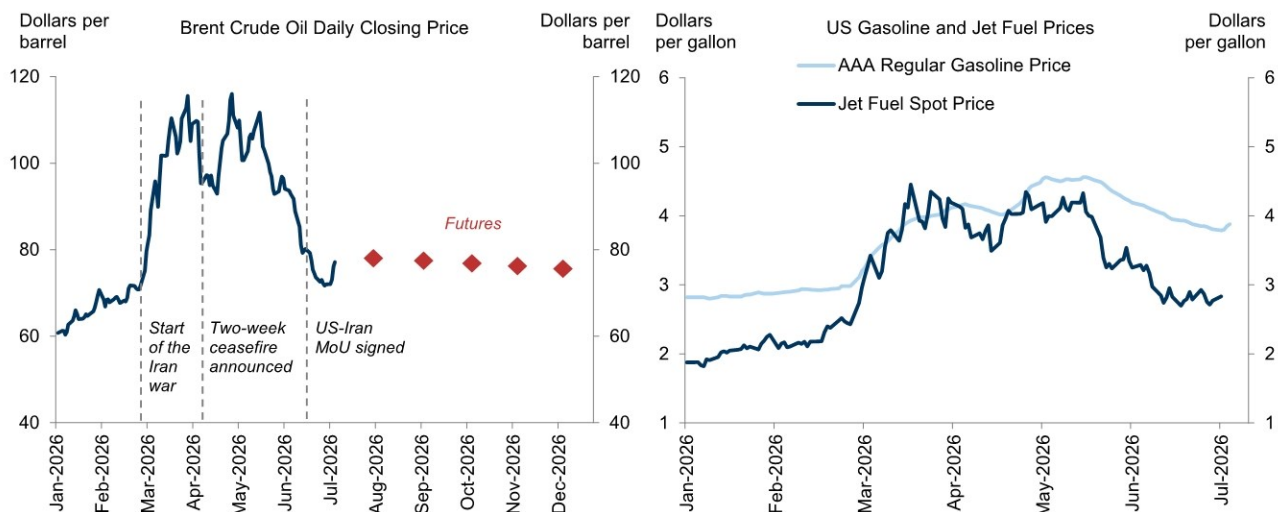
The US and Iran each carried out new attacks over the last week, renewing concerns about disruptions to shipping through the Strait of Hormuz. A more serious re-escalation of the conflict would threaten to revive the key upside risk to inflation and consequently raise the odds of the Fed raising the funds rate.

We take stock of how much of the inflationary pressure caused by the conflict had reversed before the latest attacks, how much passthrough to consumer prices is still in the pipeline, how much the latest in a long series of supply shocks has influenced inflation expectations, and how the effects of the conflict are likely to shape the monthly inflation path ahead of upcoming Fed meetings in both a de-escalation scenario and a scenario where the conflict restarts and sparks further inflationary pressure.

Much of the Commodity Price Shock from the War Has Reversed

Oil prices have risen only moderately during the latest escalation and remain roughly 30% below the levels reached in late April and early May. Retail gasoline prices have declined 15%, which should contribute to a decline in headline CPI in June, and jet fuel prices have fallen 35%, which should weigh on airfares in coming months.

Exhibit 1: Oil Prices Have Risen Only Moderately During the Latest Attacks and Remain Roughly 30% Below Their Wartime Peak; Gasoline Prices Are Down 15%, and Jet Fuel Is Down 35%

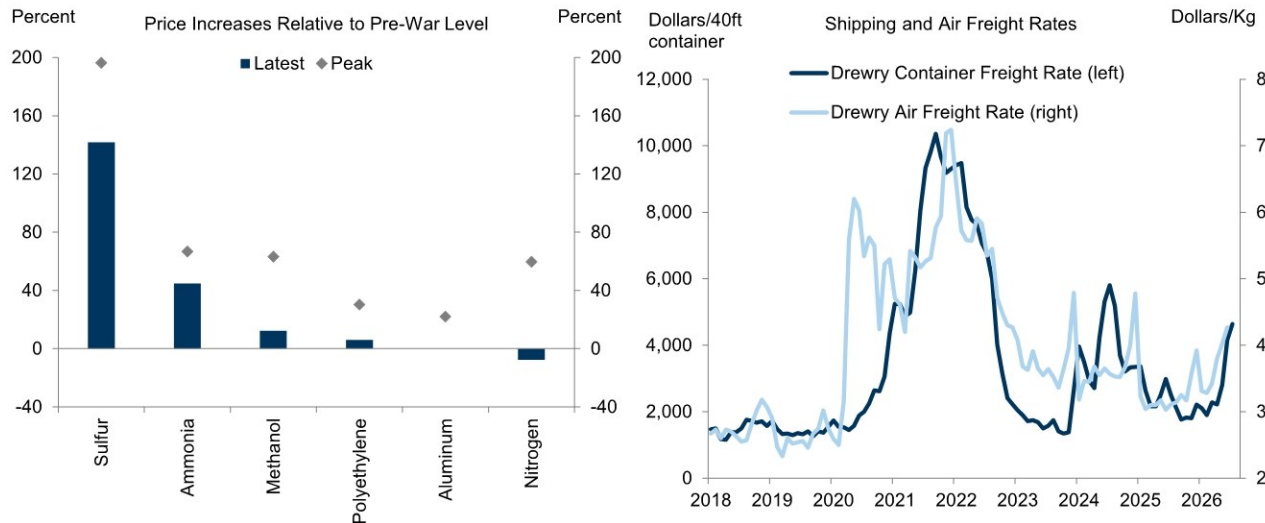


Source: Goldman Sachs Global Investment Research, Department of Energy, EIA

The prices of other Persian Gulf exports such as methanol, polyethylene, and nitrogen have also declined after spiking at the start of the war. Most are now close to their pre-war levels, though the prices of sulfur and ammonia remain elevated.

Air and ocean shipping costs have kept rising, reflecting both war-related effects such as fuel surcharges and reduced network efficiency as well as unrelated forces such as limited capacity growth, an earlier start to the peak shipping season for ocean freight, and strong semiconductor shipments driving up air cargo rates. But the increases remain much smaller than in 2021-22, and their impact on consumer prices should be modest because international shipping costs only amount to 1-2% of the cost of US consumer goods imports.

Exhibit 2: Prices of Other Gulf Exports Are Down Substantially from Their Wartime Peaks; Shipping Costs Have Kept Rising, but the Moderate Increase to Date Should Have a Modest Impact on Consumer Prices



Source: Goldman Sachs Global Investment Research, Bloomberg, Drewry

Oil flows from Gulf countries began to dip after the first reported attack on a crude tanker on June 27 but remain above their lows on a 7-day average basis. Our commodities strategists' measure of total global visible oil stocks bottomed in mid-June and had increased gradually since then, suggesting that oil inventories have not been meaningfully replenished but are not strikingly low either.

Exhibit 3: Oil Flows from Persian Gulf Countries Have Dipped but Remain Well Above Wartime Lows; Aggregate Oil Inventories Have Not Yet Been Meaningfully Replenished but Are Not Especially Low Either



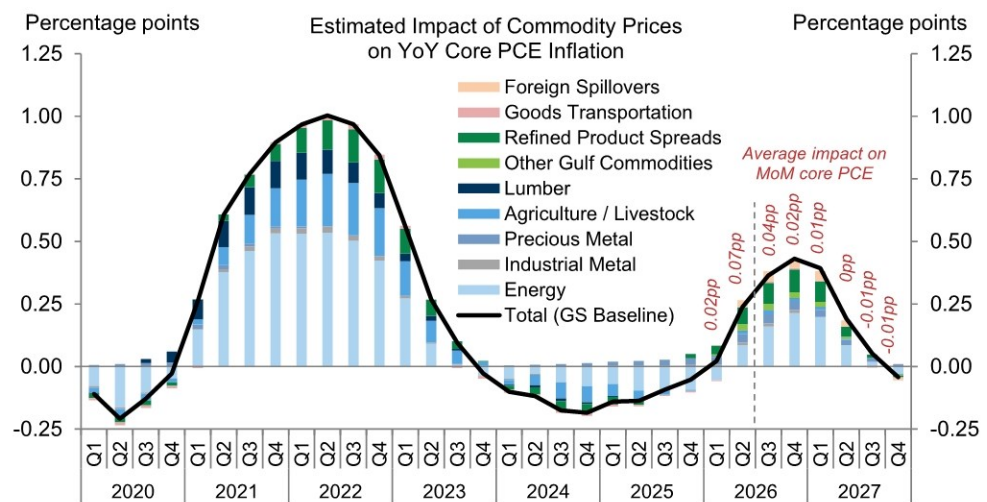
Source: Goldman Sachs Global Investment Research, Kpler, S&P Global Commodities at Sea, IEA, DOE

A Bit More Pressure on Consumer Prices in the Pipeline but a Fading Impact on Monthly Inflation

A key question for upcoming inflation reports and for the Fed is how much further impact disruptions caused by the conflict will have on consumer prices. We approach this question using two statistical tools.

The first is our model of passthrough from commodity prices to consumer prices, which incorporates our strategists' latest commodity price forecasts, refined product spreads, effects on transportation costs, and spillover effects via imports from other economies hit harder by the shocks to both oil and natural gas prices. In our baseline, we assume that refined product spreads gradually normalize over the next couple of months and that transportation costs evolve in line with their usual relationship with oil. The model suggests that the incremental effects on month-over-month core PCE inflation peaked in Q2 and should decline noticeably in Q3 and further in Q4, assuming there is no re-escalation of the conflict that pushes energy prices higher again.

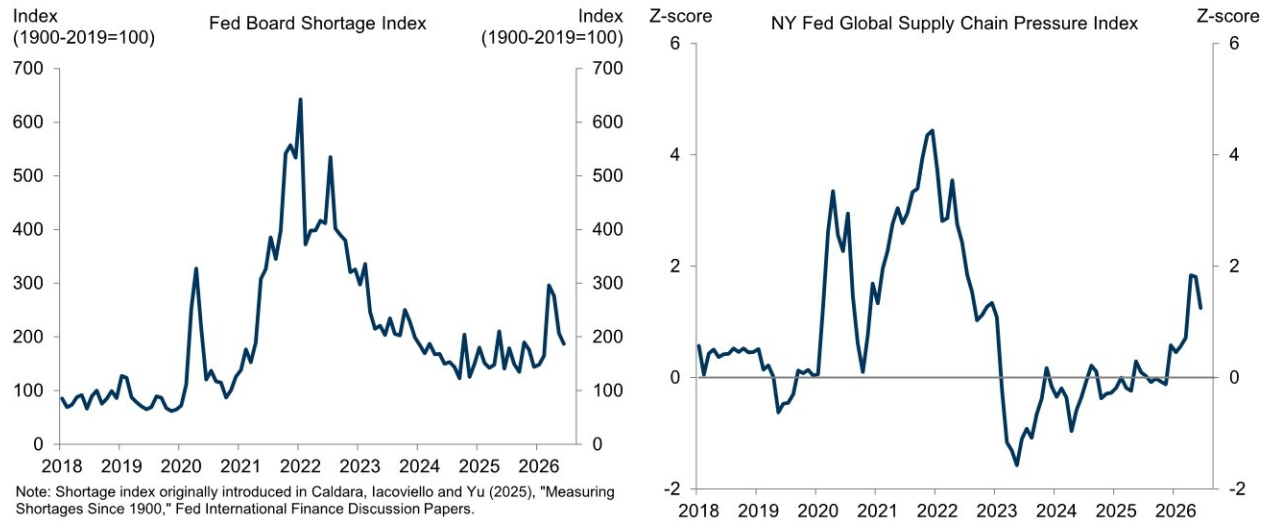
Exhibit 4: Our Model of Passthrough from Commodity Prices to Consumer Prices Suggests That the Incremental Effects Peaked in Q2 and Should Decline a Bit in Q3 and More Substantially Beyond That



Source: Goldman Sachs Global Investment Research

The second tool uses measures of shortages and supply chain pressures constructed by Fed Board and New York Fed economists to estimate the broader effects of conflict-related disruptions beyond energy and the timing of their impact. These measures rose much less during the war with Iran than during the pandemic and had reversed meaningfully from their peaks before the attacks last week.

Exhibit 5: Measures of Shortages and Supply Chain Pressures Rose Much Less Than During the Pandemic and Had Begun to Reverse Before the Attacks Last Week

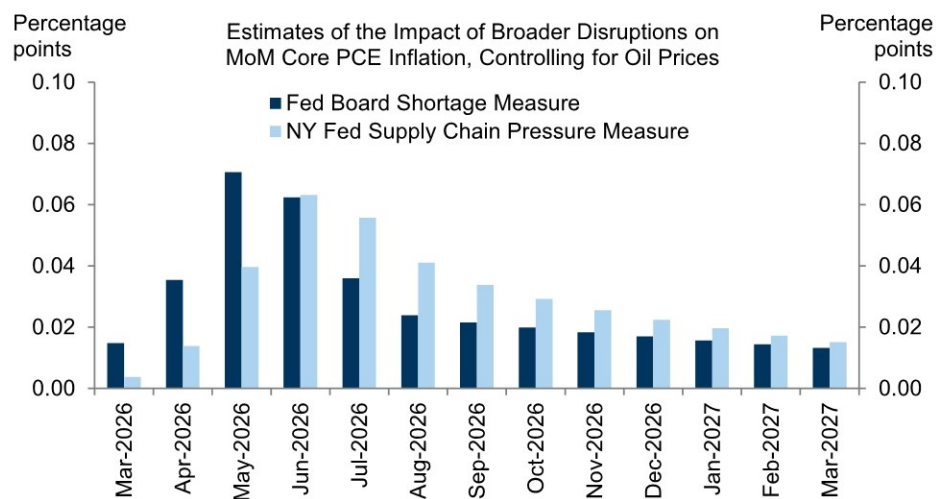


Source: Goldman Sachs Global Investment Research, Federal Reserve Board, New York Fed

We first estimate the historical relationships between these measures, energy prices, and consumer prices and the persistence of shocks to each; then estimate the series of shocks to the shortage and supply chain pressure measures that produce the realized paths since the start of the war shown above; and then finally estimate the impact of those series of shocks on consumer prices, controlling for the effect of changes in oil prices. This model also suggests that, barring further escalation, the impact on monthly inflation peaked in May and June and should decline substantially in Q3 and Q4.

We treat these results as a second opinion on the timing of the impact of the conflict on monthly inflation rather than as additive to the effects of commodity price passthrough and the predictions of our bottom-up inflation model because there is likely substantial overlap.

Exhibit 6: Our Models of the Impact on Consumer Prices of Shortages and Supply Chain Pressures Beyond Those Connected to Energy Price Moves Also Implies That the Effects Should Decline Quickly in Q3 and Q4



Source: Goldman Sachs Global Investment Research, Federal Reserve Board, New York Fed

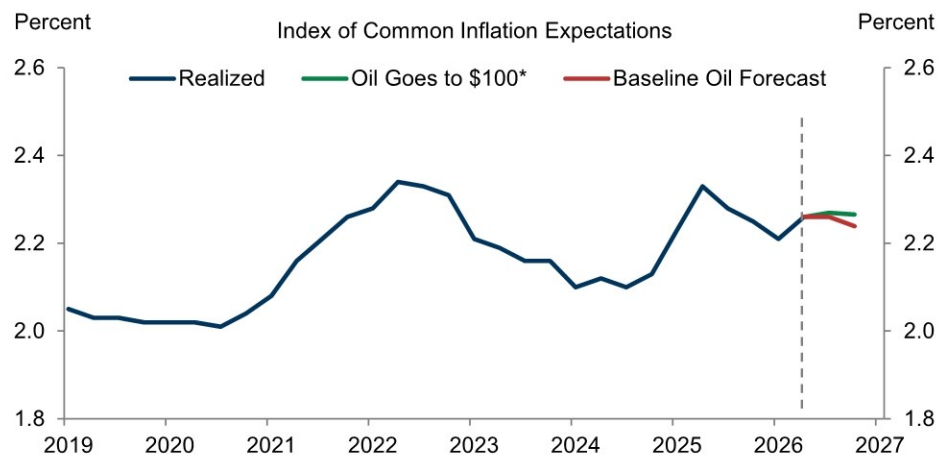
The War Shock Has Not Been Severe or Long-lasting Enough to Unanchor Inflation Expectations

A major concern for Fed officials is that the lengthy series of supply shocks that has kept inflation elevated for a long time could pose a risk to inflation expectations. Despite the abundance of data on inflation expectations available today, assessing this risk has proven less straightforward than one might assume because the measures send mixed messages and some have become less reliable.

As Chairman Warsh highlighted recently, market-based measures of inflation compensation remain subdued. Some measures of consumer inflation expectations, in particular the Michigan measure, are higher but are increasingly subject to doubts because consumer survey responses have become more politicized and less connected to macroeconomic outcomes.

Taken together, these trends imply that the Fed's aggregate Index of Common Inflation Expectations will remain in its recent range in Q2 and then moderate a bit, as long as there is no further escalation of the conflict and upward pressure on oil prices. This overall message would not be particularly concerning.

Exhibit 7: With Market-Based Measures Still Subdued but Some Consumer Survey Measures Higher, the Fed's Composite Measure of Inflation Expectations Is Likely to Fall a Bit and Remain in Its Recent Range

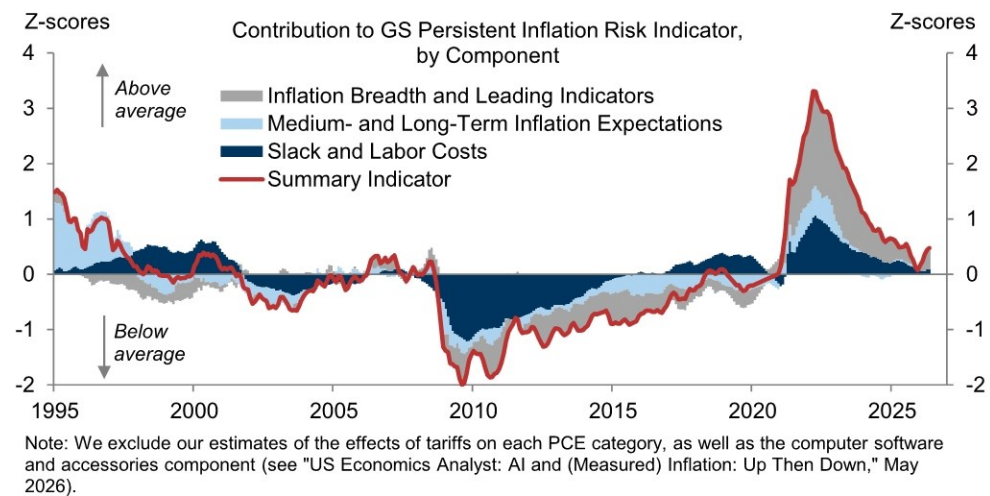


* Scenario where oil prices increase to \$100 by the end of August and remain at that level through year-end.

Source: Goldman Sachs Global Investment Research, Federal Reserve

Our composite indicator of persistent inflation risks sends a similar message. It captures ways in which the initial shock could give rise to self-perpetuating high inflation, namely by making larger-than-usual price increases seem normal to businesses, by raising inflation expectations, or by putting a wage-price feedback loop into motion. It also suggests that the inflation shock from the war has probably not been severe or long-lasting enough to spark inflation contagion, absent further escalation.

Exhibit 8: Our Composite Indicator of Persistent Inflation Risk Suggests That, Absent Re-escalation, the War Shock Was Probably Not Severe or Long-Lasting Enough to Spark Lasting Inflation Contagion

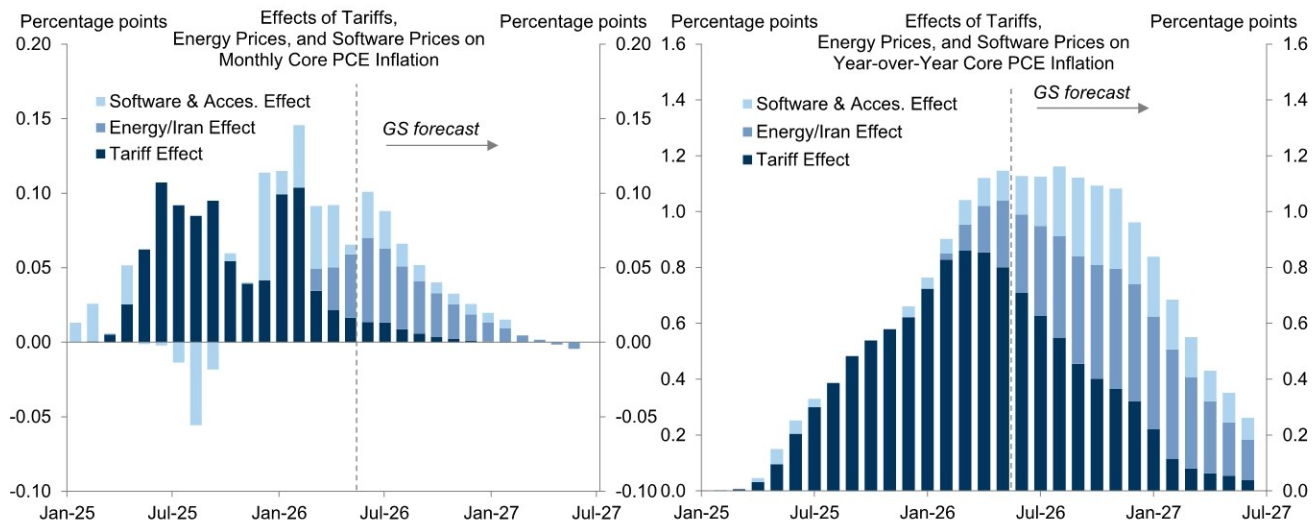


Source: Goldman Sachs Global Investment Research

A Softer Monthly Inflation Path in Coming Months Should Keep the Fed on Hold

Where will all of this leave the inflation path over the next several months? Like the effects of the war and the oil price spike, the incremental effects of tariffs and (mismeasured and overstated) AI demand on month-over-month inflation should fade going forward, though the precise monthly path of AI effects is quite uncertain. The combined impact of these three forces on month-over-month core PCE inflation is likely to remain modestly positive but fade sharply in the back half of the year, while the impact on year-over-year inflation is likely to remain roughly steady through year-end.

Exhibit 9: Temporary Pressure from Mismeasured AI Effects, Higher Energy Prices, and Tariffs Should Have a Fading Impact on Monthly Inflation but a Steady Impact on Year-over-Year Inflation in the Rest of 2026



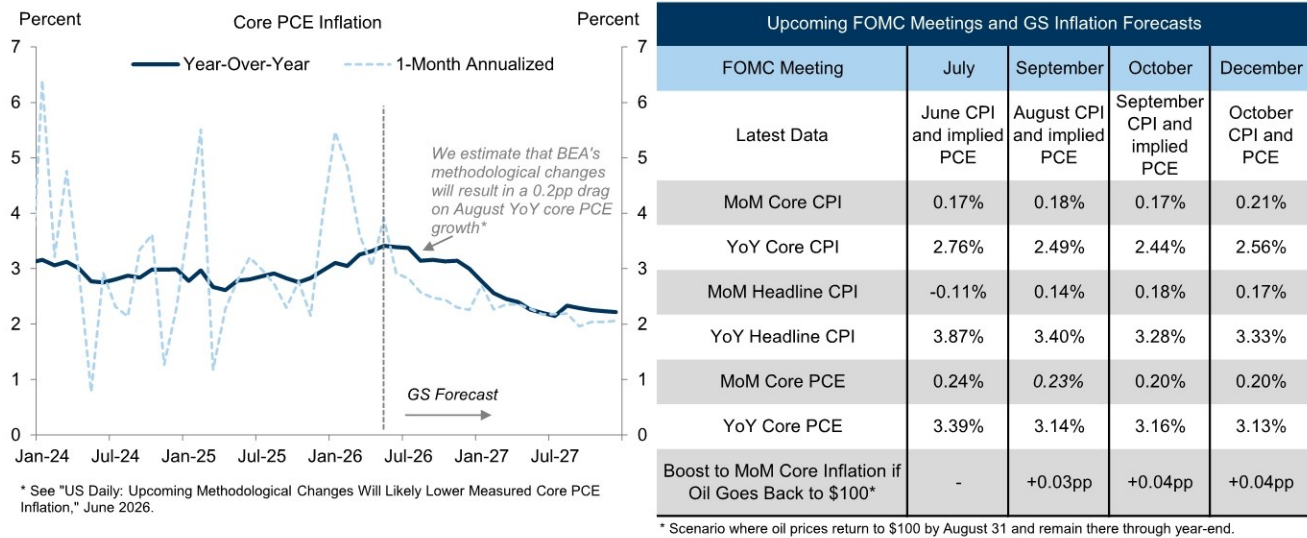
Source: Goldman Sachs Global Investment Research

Incorporating these effects into our bottom-up inflation model suggests that monthly core PCE inflation will come in at about 24bp in June and remain in a 20-23bp range in the months that follow. The year-over-year rate is likely to decline by about 0.2pp to

3.2% in August, we estimate, when the Bureau of Economic Analysis will incorporate methodological changes to inflation measurement that will affect previous months as well. Beyond that point, we expect it to fall only slightly further ahead of the Fed's remaining meetings in 2026, before falling more substantially in 2027.

We think that our forecasted inflation path would keep the Fed on hold for the rest of 2026, but it leaves little margin for error and could lead to some disagreement among FOMC participants.

Exhibit 10: We Expect the Upcoming Inflation News to Be Soft Enough to Keep the Fed on Hold This Year



Source: Goldman Sachs Global Investment Research

How much would a potential re-escalation of the conflict that pushed oil prices back up to \$100 per barrel change the outlook? Our models suggest that this would boost the monthly core inflation path by 3-4bp in coming months. But the impact of yet another supply shock on the monetary policy debate could be more significant than the passthrough math alone suggests because it would add to frustration about what has already been a long series of supply shocks and the difficulty of knowing when they will end and would raise concern that they might eventually be enough to unanchor inflation expectations.

David Mericle

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The US Economic and Financial Outlook

THE US ECONOMIC AND FINANCIAL OUTLOOK

(% change on previous period, annualized, except where noted)

	2023	2024	2025	2026	2027	2025 Q4	Q1	2026 Q2	Q3	Q4	Q1	2027 Q2	Q3	Q4
OUTPUT AND SPENDING														
Real GDP	2.9	2.8	2.1	2.2	2.1	0.5	2.1	2.2	1.9	1.9	2.0	2.1	2.2	2.3
Real GDP (annual=Q4/Q4, quarterly=yoy)	3.4	2.4	2.0	2.0	2.1	2.0	2.7	2.3	1.7	2.0	2.0	2.0	2.1	2.1
Consumer Expenditures	2.6	2.9	2.6	1.7	1.8	1.9	0.5	1.7	1.5	1.5	1.9	2.0	2.1	2.2
Residential Fixed Investment	-7.8	3.2	-2.2	-4.7	1.0	-1.7	-7.8	-5.7	-1.5	1.5	2.0	2.0	2.0	2.3
Business Fixed Investment	7.3	2.9	4.1	6.8	5.8	2.4	10.6	7.9	7.5	6.9	4.9	4.9	4.9	4.9
Structures	16.7	1.1	-5.3	-3.6	2.1	-6.6	-4.7	0.7	-1.0	-0.2	3.5	3.5	3.5	3.5
Equipment	2.9	3.5	8.3	10.6	7.1	4.3	15.8	14.7	11.0	9.5	5.0	5.0	5.0	5.0
Intellectual Property Products	6.2	3.5	5.6	8.5	6.2	5.4	13.8	5.0	8.2	7.8	5.5	5.5	5.5	5.5
Federal Government	3.3	3.8	-1.2	-1.4	0.8	-16.7	9.4	-2.0	1.0	1.0	1.0	1.0	1.0	1.0
State & Local Government	3.6	3.8	2.5	1.4	0.9	1.5	1.6	0.8	0.5	1.0	1.0	1.0	1.0	1.0
Net Exports (\$bn, '17)	-925	-1,033	-1,091	-1,081	-1,170	-969	-1,002	-1,082	-1,109	-1,131	-1,146	-1,162	-1,178	-1,194
Inventory Investment (\$bn, '17)	47	44	29	43	65	-16	-17	60	65	65	65	65	65	65
Nominal GDP	6.7	5.3	5.0	6.0	4.7	4.2	5.8	8.7	3.8	4.2	4.7	4.7	4.5	4.4
Industrial Production, Mfg.	-1.0	-1.0	0.8	3.2	3.9	-3.5	4.4	8.0	4.9	3.9	3.3	3.2	3.2	3.3
HOUSING MARKET														
Housing Starts (units, thous)	1,421	1,370	1,356	1,347	1,372	1,323	1,418	1,299	1,323	1,348	1,362	1,365	1,375	1,385
New Home Sales (units, thous)	666	684	679	631	649	711	623	590	649	661	636	642	649	670
Existing Home Sales (units, thous)	4,103	4,067	4,076	4,168	4,255	4,157	4,053	4,160	4,226	4,234	4,243	4,251	4,260	4,268
Case-Shiller Home Prices (%yoy)*	5.3	3.8	1.3	1.1	2.4	1.3	0.8	1.1	1.6	1.1	1.1	2.0	2.2	2.4
INFLATION (% ch, yr/yr)														
Consumer Price Index (CPI)**	3.3	2.9	2.7	3.3	2.2	2.7	2.7	3.9	3.4	3.3	3.1	2.0	2.3	2.3
Core CPI **	3.9	3.2	2.6	2.6	2.2	2.7	2.5	2.8	2.5	2.6	2.5	2.2	2.2	2.2
Core PCE** †	3.1	3.0	3.0	3.0	2.2	2.9	3.1	3.4	3.2	3.1	2.6	2.3	2.3	2.2
LABOR MARKET														
Unemployment Rate (%)^	3.8	4.1	4.4	4.4	4.3	4.4	4.3	4.2	4.3	4.4	4.4	4.3	4.3	4.3
U6 Underemployment Rate (%)^	7.2	7.6	8.4	8.3	8.2	8.4	8.0	7.9	8.2	8.3	8.2	8.2	8.2	8.2
Payrolls (thous, monthly rate)	210	122	10	67	50	-39	73	111	40	45	50	50	50	50
Employment-Population Ratio (%)^	60.1	59.9	59.7	59.0	59.0	59.7	59.2	59.0	59.1	59.0	59.0	59.0	59.0	59.0
Labor Force Participation Rate (%)^	62.5	62.5	62.4	61.7	61.6	62.4	61.9	61.5	61.8	61.7	61.7	61.7	61.7	61.6
Average Hourly Earnings (%yoy)	4.4	3.9	4.0	3.9	3.8	4.0	4.0	4.0	3.9	3.8	3.8	3.8	3.8	3.8
GOVERNMENT FINANCE														
Federal Budget (FY, \$bn)	-1,694	-1,833	-1,775	-1,950	-2,050	--	--	--	--	--	--	--	--	--
FINANCIAL INDICATORS														
FF Target Range (Bottom-Top, %)^	5.25-5.5	4.25-4.5	3.5-3.75	3.5-3.75	3-3.25	3.5-3.75	3.5-3.75	3.5-3.75	3.5-3.75	3.5-3.75	3.5-3.75	3.25-3.5	3.25-3.5	3-3.25
10-Year Treasury Note^	3.88	4.58	4.18	4.40	4.25	4.18	4.30	4.44	4.45	4.40	4.35	4.30	4.25	4.25
Euro (€/€)^	1.11	1.04	1.17	1.12	1.14	1.17	1.15	1.14	1.14	1.12	1.12	1.12	1.13	1.14
Yen (\$/¥)^	141	157	157	164	145	157	159	163	162	164	164	165	157	145

* Weighted average of metro-level HPIs for 381 metro cities where the weights are dollar values of housing stock reported in the American Community Survey. Annual numbers are Q4/Q4.

** Annual inflation numbers are December year-on-year values. Quarterly values are Q4/Q4.

† PCE = Personal consumption expenditures. ^ Denotes end of period.

Note: Published figures in bold.

Source: Goldman Sachs Global Investment Research

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Unless otherwise stated, the individuals listed on the cover page of this report are analysts in Goldman Sachs' Global Investment Research division.

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